

How the sales tax estimate was calculated

Proposed additional 1% sales tax for school capital | FY2028 first full-year estimate

FROM STARTING POINT TO ESTIMATE

\$85.5M

FY2026 starting estimate

\$90.8M

FY2028 after 3% growth

75%-78%

planning range

\$68.1M-\$70.8M

estimated additional tax range

1. Project FY2026 estimate to FY2028

Based on FY2026 collections to date, the County projects \$85.5M for its existing 1% tax, then assumes 3% growth in FY2027 and FY2028.

Year	Amount	Step
FY2026	\$85.5M	Starting estimate
FY2027	\$88.1M	Apply 3% growth
FY2028	\$90.8M	Apply 3% growth

2. Estimate taxable-sales share

CY2025 taxable-sales proxy
Annual taxable-sales report by business classification

Measure	Amount/share
All taxable sales	\$6.220B
Less: Food and Beverage Stores	(\$1.218B)
Less: Health and Personal Care Stores	(\$0.073B)
Total removed	(\$1.290B)
Estimated applicable sales	\$4.930B
Direct taxable-sales estimate	79.3%

Planning range selected: 75%-78% upper bound remains below 79.3%

3. Sanity-check against actual distributions

about 80%

Additional education-tax distributions as a share of matching regular 1% distributions in eight Virginia localities.

29 fiscal-year comparisons with education activity: \$145.7M regular local tax and \$117.0M education tax.

Only years with zero education-tax distributions were excluded. Every reported distribution in each included year is used and shown in Appendix B.

This is a check, not another adjustment to the estimate.

Why use 75%-78%

The direct taxable-sales estimate is 79.3% and the peer check is 80.3%. Chesterfield uses 78% as the working estimate and 75% as a conservative lower bound.

The 75% lower bound is approximately the lowest aggregate peer-locality result. This is a planning range, not a statistical confidence interval, and the peer check is not added to or averaged with the estimate.

FY2028 REGULAR 1% FORECAST

\$90.8M

PLANNING RANGE

75%-78%

ESTIMATED ADDITIONAL TAX

\$68.1M-\$70.8M

SOURCES AND METHODOLOGY LINKS

Weldon Cooper Center - Local Option Sales Tax monthly distributions used to inform the County FY2026 estimate.
Virginia Department of Taxation / Virginia Open Data - Taxable Sales Data by Locality, 2025 annual Excel file.
Virginia Auditor of Public Accounts - CARDINAL State Disbursement reports for LOCAL SALES TAX and ADDL LOCAL SALES TAX.
Code of Virginia Section 58.1-605.1 - authority, permitted use and excluded purchases for the additional local sales tax.

Appendix A | Supporting calculations

Amounts, totals and percentages behind the estimate

A1. FY2026-TO-FY2028 FORECAST

Step	Assumption	Amount
FY2026 regular 1%	Starting estimate	\$85,542,865
FY2027 regular 1%	3% growth	\$88,109,151
FY2028 regular 1%	3% growth	\$90,752,426
FY2028 lower bound	75% planning share	\$68,064,320
FY2028 estimate	78% working share	\$70,786,892

The 3% assumption is applied once for FY2027 and once for FY2028. Applying a 75%-78% planning range produces \$68.1M-\$70.8M.

A2. CY2025 TAXABLE-SALES PROXY

Measure	Amount	% of total
All taxable sales	\$6,220,238,553	100.0%
Less: Food and Beverage Stores	(\$1,217,518,884)	19.6%
Less: Health and Personal Care Stores	(\$72,752,522)	1.2%
Total removed	(\$1,290,271,406)	20.7%
Estimated applicable sales	\$4,929,967,147	79.3%

* The taxable-sales report is the only publicly available category-level source. It is used only to estimate the applicable share of the current 1% forecast; it is not used to calculate the current 1% dollar forecast, which is based on actual distributions and the County forecast.

Planning range used: 75.0%-78.0% both bounds below the direct 79.3% result

A3. PEER-LOCALITY TOTALS - YEARS WITH EDUCATION ACTIVITY

Locality	FYs used (count)	Existing local 1% distributions	Additional education 1% distributions	Education / existing local 1%
Charlotte	FY2022-FY2025 (4)	\$4,065,070	\$3,125,311	76.9%
Danville	FY2023-FY2025 (3)	\$38,572,494	\$30,739,149	79.7%
Gloucester	FY2022-FY2025 (4)	\$28,842,455	\$22,183,901	76.9%
Halifax	FY2022-FY2025 (4)	\$21,461,396	\$18,486,298	86.1%
Henry	FY2022-FY2025 (4)	\$26,179,959	\$21,894,537	83.6%
Northampton	FY2022-FY2025 (4)	\$9,931,542	\$7,888,115	79.4%
Patrick	FY2022-FY2025 (4)	\$7,642,913	\$5,926,293	77.5%
Pittsylvania	FY2024-FY2025 (2)	\$9,027,180	\$6,758,704	74.9%
TOTAL - 29 COMPARISONS		\$145,723,008	\$117,002,307	80.3%

A4. THE SAME INCLUDED COMPARISONS, ADDED BY FISCAL YEAR

Fiscal year	Localities included	Existing local 1% distributions	Additional education 1% distributions	Education / existing local 1%
FY2022	6	\$22,423,302	\$17,784,404	79.3%
FY2023	7	\$36,156,686	\$28,442,274	78.7%
FY2024	8	\$43,011,698	\$34,633,837	80.5%
FY2025	8	\$44,131,321	\$36,141,792	81.9%
FY2023-FY2025 SUBTOTAL	23	\$123,299,706	\$99,217,903	80.5%
TOTAL	29	\$145,723,008	\$117,002,307	80.3%

Proxy note: The statute excludes food for home consumption and essential personal hygiene products, but the taxable-sales report is organized by business classification.

Peer method: Fiscal years with education-tax distributions greater than zero are included; years with zero are excluded. All reported distributions in each included fiscal year are used. Dollar amounts are rounded; percentages use unrounded amounts.

Appendix B | Peer-locality fiscal-year detail

Regular local and additional education sales-tax distributions, with inclusion status

The detail below shows both tax streams, their distribution counts and the resulting percentage. Only rows with zero education-tax distributions were not used.

Locality	FY	Regular count	Education count	Regular local 1% amount	Additional education 1% amount	Education / regular	Status
Charlotte	FY2022	12	11	\$953,867	\$643,611	67.5%	Used
Charlotte	FY2023	12	12	\$981,333	\$792,198	80.7%	Used
Charlotte	FY2024	12	12	\$1,068,095	\$851,108	79.7%	Used
Charlotte	FY2025	12	12	\$1,061,775	\$838,394	79.0%	Used
Danville	FY2022	12	0	\$10,882,534	—	—	Excluded - no education
Danville	FY2023	12	11	\$11,718,257	\$8,221,936	70.2%	Used
Danville	FY2024	12	12	\$13,127,442	\$11,009,334	83.9%	Used
Danville	FY2025	12	12	\$13,726,795	\$11,507,879	83.8%	Used
Gloucester	FY2022	12	11	\$6,659,642	\$4,508,581	67.7%	Used
Gloucester	FY2023	12	12	\$7,151,501	\$5,791,061	81.0%	Used
Gloucester	FY2024	12	12	\$7,473,481	\$5,899,249	78.9%	Used
Gloucester	FY2025	12	12	\$7,557,831	\$5,985,010	79.2%	Used
Halifax	FY2022	12	12	\$4,607,281	\$4,478,802	97.2%	Used
Halifax	FY2023	12	12	\$5,409,647	\$4,553,115	84.2%	Used
Halifax	FY2024	12	12	\$5,574,256	\$4,611,530	82.7%	Used
Halifax	FY2025	12	12	\$5,870,212	\$4,842,851	82.5%	Used
Henry	FY2022	12	12	\$6,005,256	\$5,285,194	88.0%	Used
Henry	FY2023	12	12	\$6,605,032	\$5,546,048	84.0%	Used
Henry	FY2024	12	12	\$6,686,766	\$5,468,975	81.8%	Used
Henry	FY2025	12	12	\$6,882,906	\$5,594,319	81.3%	Used
Northampton	FY2022	12	11	\$2,488,922	\$1,706,872	68.6%	Used
Northampton	FY2023	12	12	\$2,438,789	\$2,040,956	83.7%	Used
Northampton	FY2024	12	12	\$2,549,076	\$2,124,318	83.3%	Used
Northampton	FY2025	12	12	\$2,454,754	\$2,015,969	82.1%	Used
Patrick	FY2022	12	11	\$1,708,334	\$1,161,343	68.0%	Used
Patrick	FY2023	12	12	\$1,852,128	\$1,496,961	80.8%	Used
Patrick	FY2024	12	12	\$2,051,046	\$1,650,586	80.5%	Used
Patrick	FY2025	12	12	\$2,031,405	\$1,617,403	79.6%	Used
Pittsylvania	FY2022	12	0	\$3,943,935	—	—	Excluded - no education
Pittsylvania	FY2023	12	0	\$4,357,044	—	—	Excluded - no education
Pittsylvania	FY2024	12	11	\$4,481,537	\$3,018,738	67.4%	Used
Pittsylvania	FY2025	12	12	\$4,545,643	\$3,739,966	82.3%	Used
INCLUDED ROWS ONLY		348	342	\$145,723,008	\$117,002,307	80.3%	29 comparisons

Inclusion rule: Use fiscal years with education-tax distributions greater than zero. Rows with no education-tax distributions are shown for transparency but excluded from the peer total. Counts and amounts are derived from the supplied CARDINAL extract; totals use the raw disbursement records. Dollar amounts are rounded to the nearest dollar; percentages use unrounded amounts.

Appendix C | CY2025 taxable sales by category (1 of 2)

Chesterfield taxable sales by business classification from the annual taxable-sales report

Amounts are taxable sales/use-tax activity by filer business classification and are rounded to the nearest dollar. Percentages use the unrounded all-taxable-sales total used in Appendix A2.

NAICS	Business classification	Dealers	Taxable sales	% of all taxable sales	Proxy treatment
000	No NAICS Information or Unknown	372	\$398,733,132	6.4%	Included in proxy
111	Crop Production	27	\$10,388,141	0.2%	Included in proxy
112	Animal Production	12	\$112,392	0.0%	Included in proxy
236	Construction of Buildings	17	\$10,105,884	0.2%	Included in proxy
237	Heavy and Civil Engineering Construction	11	\$21,223,052	0.3%	Included in proxy
238	Specialty Trade Contractors	105	\$75,098,552	1.2%	Included in proxy
311	Food Manufacturing	77	\$13,590,901	0.2%	Included in proxy
312	Beverage and Tobacco Product Manufacturing	12	\$4,989,407	0.1%	Included in proxy
313	Textile Mills	7	\$5,614,278	0.1%	Included in proxy
314	Textile Product Mills	13	\$135,764	0.0%	Included in proxy
315	Apparel Manufacturing	13	\$26,059	0.0%	Included in proxy
316	Leather and Allied Product Manufacturing	5	\$64,825	0.0%	Included in proxy
321	Wood Product Manufacturing	18	\$2,712,305	0.0%	Included in proxy
323	Printing and Related Support Activities	34	\$2,876,710	0.0%	Included in proxy
325	Chemical Manufacturing	33	\$58,616,951	0.9%	Included in proxy
326	Plastics and Rubber Products Manufacturing	8	\$15,549,907	0.2%	Included in proxy
327	Nonmetallic Mineral Product Manufacturing	19	\$47,061,392	0.8%	Included in proxy
331	Primary Metal Manufacturing	5	\$1,907,847	0.0%	Included in proxy
332	Fabricated Metal Product Manufacturing	33	\$4,692,153	0.1%	Included in proxy
333	Machinery Manufacturing	23	\$13,873,351	0.2%	Included in proxy
335	Electrical Equipment, Appliance, and Component Manufacturing	8	\$3,642,594	0.1%	Included in proxy
336	Transportation Equipment Manufacturing	9	\$5,042,181	0.1%	Included in proxy
337	Furniture and Related Product Manufacturing	9	\$1,948,719	0.0%	Included in proxy
339	Miscellaneous Manufacturing	76	\$35,333,681	0.6%	Included in proxy
421	Wholesale Trade, Durable Goods	6	\$19,448,124	0.3%	Included in proxy
423	Merchant Wholesalers, Durable Goods	215	\$511,735,073	8.2%	Included in proxy
424	Merchant Wholesalers, Nondurable Goods	81	\$43,724,357	0.7%	Included in proxy
425	Wholesale Electronic Markets and Agents and Brokers	10	\$40,038,962	0.6%	Included in proxy
441	Motor Vehicle and Parts Dealers	98	\$234,410,403	3.8%	Included in proxy
442	Furniture and Home Furnishings Stores	42	\$46,142,199	0.7%	Included in proxy
443	Electronics and Appliance Stores	20	\$35,379,393	0.6%	Included in proxy
444	Building Material and Garden Equipment and Supplies Dealers	51	\$391,672,380	6.3%	Included in proxy
445	Food and Beverage Stores (includes VA ABC Stores)	173	\$1,217,518,884	19.6%	Excluded in proxy
446	Health and Personal Care Stores	66	\$72,752,522	1.2%	Excluded in proxy

Proxy treatment note: NAICS 445 and 446 are removed in full to approximate food for home consumption and essential personal hygiene exclusions. This is a proxy because the public report is by business classification, not by transaction-level item taxability.

Appendix C | CY2025 taxable sales by category (2 of 2)

Chesterfield taxable sales by business classification from the annual taxable-sales report

Amounts are taxable sales/use-tax activity by filer business classification and are rounded to the nearest dollar. Percentages use the unrounded all-taxable-sales total used in Appendix A2.

NAICS	Business classification	Dealers	Taxable sales	% of all taxable sales	Proxy treatment
447	Gasoline Stations	35	\$90,431,049	1.5%	Included in proxy
448	Clothing and Clothing Accessories Stores	152	\$149,061,544	2.4%	Included in proxy
451	Sporting Goods, Hobby, Book, and Music Stores	81	\$83,891,705	1.3%	Included in proxy
452	General Merchandise Stores	27	\$796,965,508	12.8%	Included in proxy
453	Miscellaneous Store Retailers	191	\$99,443,182	1.6%	Included in proxy
454	Nonstore Retailers	191	\$18,915,260	0.3%	Included in proxy
484	Truck Transportation	7	\$1,110,099	0.0%	Included in proxy
511	Publishing Industries	12	\$13,021	0.0%	Included in proxy
512	Motion Picture and Sound Recording Industries	5	\$6,872,248	0.1%	Included in proxy
517	Telecommunications	24	\$51,400,438	0.8%	Included in proxy
519	Other Information Services	6	\$766,891	0.0%	Included in proxy
522	Credit Intermediation and Related Activities	5	\$1,845,806	0.0%	Included in proxy
531	Real Estate	44	\$5,833,051	0.1%	Included in proxy
532	Rental and Leasing Services	95	\$128,429,678	2.1%	Included in proxy
541	Professional, Scientific, and Technical Services	261	\$42,019,221	0.7%	Included in proxy
551	Management of Companies and Enterprises	6	\$16,417,207	0.3%	Included in proxy
561	Administrative and Support Services	72	\$22,609,910	0.4%	Included in proxy
562	Waste Management and Remediation Services	7	\$3,241,540	0.1%	Included in proxy
611	Educational Services	28	\$711,790	0.0%	Included in proxy
621	Ambulatory Health Care Services	90	\$5,439,437	0.1%	Included in proxy
623	Nursing and Residential Care Facilities	9	\$307,101	0.0%	Included in proxy
711	Performing Arts, Spectator Sports, and Related Industries	88	\$1,036,781	0.0%	Included in proxy
713	Amusement, Gambling, and Recreation Industries	68	\$21,354,820	0.3%	Included in proxy
721	Accommodation	57	\$92,293,045	1.5%	Included in proxy
722	Food Services and Drinking Places	665	\$890,732,935	14.3%	Included in proxy
811	Repair and Maintenance	210	\$88,265,103	1.4%	Included in proxy
812	Personal and Laundry Services	250	\$61,141,293	1.0%	Included in proxy
813	Religious, Grantmaking, Civic, Professional, and Similar Organizations	22	\$1,593,328	0.0%	Included in proxy
814	Private Households	7	\$392,808	0.0%	Included in proxy
Subtotal	Classified Chesterfield total	4,423	\$6,028,698,274	96.9%	Category rows
Other	Miscellaneous and unidentifiable outside classified total	58	\$191,540,279	3.1%	Included in all-sales total
Total	All taxable sales used in proxy	4,481	\$6,220,238,553	100.0%	Appendix A2 total

Reconciliation note: The category rows reconcile to the classified Chesterfield total. The report also contains miscellaneous/unidentifiable taxable sales outside the classified category rows; Appendix A2 uses the all-taxable-sales total.